

One Big Beautiful Bill Act Updates

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On July 4, 2025, the *One Big Beautiful Bill Act (OBBBA)* was signed into law, resulting in changes to federal student aid programs. Some of these changes went into effect immediately, while others will go into effect in 2026 and beyond.

This page provides information about changes affecting recipients of federal student aid, including borrowers. We will continue to update this page when new information becomes available.

Student Borrower Scenarios

The following scenarios illustrate the effects of *OBBBA*'s loan limit and loan repayment provisions on undergraduate, graduate, and professional student borrowers.

Read [definitions of important terms and concepts](#) that will be covered on this page.

I'm a new undergraduate student borrower, and all of my loans will first be disbursed on or after July 1, 2026.

Loan Limits

- Your annual and aggregate [loan limits](#) remain the same as they were before July 1, 2026.
- Your institution may set a loan limit that is lower than the maximum amount allowed by law, as long as the same limit is applied to all borrowers in the same program of study.
- You have a lifetime maximum loan limit of \$257,500, which includes any amount paid in full or discharged.
- If you're enrolled less than full time, then the amount of your loan eligibility for that award year will be reduced proportionally to your level of enrollment.
- If one or more of your parents receives a Direct PLUS Loan for parents, they'll have reduced borrowing eligibility starting on July 1, 2026. Dependent undergraduate students may receive up to \$20,000 annually by all parents, with an overall aggregate amount of \$65,000, which includes any amount paid in full or discharged.*
- If it's determined that one or more parents have adverse credit and are unable to receive a PLUS loan, then the limit increases for how much in Direct Unsubsidized Loans you may receive. Your parent(s) reaching their annual or aggregate limit for

receiving PLUS loans doesn't increase your ability to receive additional Direct Unsubsidized Loans.

*After reaching the limit, parents cannot receive additional Direct PLUS Loans for parents. Learn about [receiving a Direct PLUS Loan for parents after July 1, 2026](#).

Repayment Plans

- If you have at least one loan first disbursed on or after July 1, 2026, you'll be required to repay all of your eligible Direct Loans under the [Repayment Assistance Plan](#) or the [Tiered Standard Plan](#).
- If you have Direct Subsidized Loans, Direct Unsubsidized Loans, Direct PLUS Loans for graduate or professional students, or a Direct Consolidation Loan that doesn't include a parent PLUS loan, then you're permitted to repay those loans under the Repayment Assistance Plan or the Tiered Standard Plan.
- If you have parent PLUS loans or a Direct Consolidation Loan that includes a parent PLUS loan, you're permitted to repay those loans only under the Tiered Standard Plan.

I'm a new graduate student borrower, and all of my loans will first be disbursed on or after July 1, 2026.

Loan Limits

- Before July 1, 2026, [loan limits](#) for both graduate and professional students were treated the same. Starting on July 1, 2026, [students enrolled in a program of study that leads to a professional degree](#) will have different limits than graduate students.
- If you're enrolled in a graduate program, you may receive unsubsidized loans up to \$20,500 yearly.
- If you're enrolled in a graduate program, you'll have a reduced aggregate loan limit compared to the loan limits effective before July 1, 2026. You may receive unsubsidized loans up to \$100,000 in total if you've never been a professional student previously. This aggregate loan limit won't include loans received for undergraduate study.
- If you're enrolled in a graduate program and previously were a professional student, you may receive unsubsidized loans up to \$200,000 minus what you received for your professional program.
- It's not possible to receive a Direct PLUS Loan for graduate or professional students.
- Your institution may set a loan limit that is lower than the maximum amount allowed by law, as long as the same limit is applied to all borrowers in the same program of study.
- There is a lifetime maximum loan limit of \$257,500, which includes any amount paid in full or discharged.
- If you're enrolled less than full time, the amount of loan eligibility will be reduced proportionally to your level of enrollment.

Repayment Plans

- If you have at least one loan first disbursed on or after July 1, 2026, you'll be required to repay all of your eligible Direct Loans under the [Repayment Assistance Plan](#) or the [Tiered Standard Plan](#).
- If you have Direct Subsidized Loans, Direct Unsubsidized Loans, Direct PLUS Loans for graduate or professional students, or a Direct Consolidation Loan that doesn't include a Direct PLUS Loan for parents, then you're permitted to repay those loans under either the Repayment Assistance Plan or the Tiered Standard Plan.
- If you have parent PLUS loans or a Direct Consolidation Loan that includes a parent PLUS loan, then you're permitted to repay those loans only under the Tiered Standard Plan.

I'm a new professional student borrower, and all of my loans will first be disbursed on or after July 1, 2026.

Loan Limits

- Before July 1, 2026, [loan limits](#) for both graduate and professional students were treated the same. Starting on July 1, 2026, borrowers seeking a professional degree will have different loan limits compared to borrowers pursuing a graduate degree. Find out [which degrees are considered a professional degree](#).
- If you're enrolled in a professional program, you'll have increased annual loan limits for unsubsidized loans compared to the eligibility that you would've had before July 1, 2026. You may receive up to \$50,000 in unsubsidized loans each year.
- If you're enrolled in a professional program, you'll have an increased aggregate loan limit compared to the loan limits effective before July 1, 2026. You may receive up to \$200,000 in unsubsidized loans in total if you weren't previously enrolled in a graduate program. This aggregate loan limit won't include loans received for undergraduate studies.
- If you're enrolled in a professional program and previously were enrolled in a graduate program, you may receive unsubsidized loans up to \$200,000 minus what was received for your graduate program.
- You aren't permitted to receive a Direct PLUS Loan for graduate or professional students.
- Your institution may set a loan limit that is lower than the maximum amount allowed by law, as long as the same limit is applied to all borrowers in the same program of study.
- You have a lifetime maximum loan limit of \$257,500, which includes any amount paid in full or discharged.
- If you're enrolled less than full time, then the amount of your loan eligibility will be reduced proportionally to your level of enrollment.

Repayment Plans

- If you have at least one loan first disbursed on or after July 1, 2026, you'll be required to repay all of your eligible Direct Loans under the [Repayment Assistance Plan](#) or the [Tiered Standard Plan](#).
- If you have Direct Subsidized Loans, Direct Unsubsidized Loans, Direct PLUS Loans for graduate or professional students, or a Direct Consolidation Loan that doesn't include a Direct PLUS Loan for parents, you're permitted to repay those loans under the Repayment Assistance Plan or the Tiered Standard Plan.
- If you have parent PLUS loans or a Direct Consolidation Loan that includes a parent PLUS loan, you're permitted to repay those loans only under the Tiered Standard Plan.

I'm a student borrower, all of my loans were disbursed before July 1, 2026, and I don't plan to receive new loans on or after July 1, 2026.

Loan Limits

- There are no changes to the [loan limits](#) for you, since you don't intend to receive more loans. If you do determine that you need more aid or you choose to consolidate your loans, you should carefully review the section about [receiving new loans on or after July 1, 2026](#).

Repayment Plans

- Because all of your loans are first disbursed before July 1, 2026, you'll retain access to many of the existing fixed payment repayment plans and income-driven repayment plans.
- If your loans are all first disbursed before July 1, 2026, you'll have access to the following repayment plans, if you're eligible:

- - [Standard Repayment Plan](#)
 - [Graduated Repayment Plan](#)
 - [Extended Repayment Plan](#)
 - [Income-Based Repayment \(IBR\) Plan](#)
 - [Income-Contingent Repayment \(ICR\) Plan](#)
 - [Pay As You Earn \(PAYE\) Plan](#)
 - [Repayment Assistance Plan](#)

- The only plan that you won't have access to is the [Tiered Standard Plan](#).
- You can switch between any of the plans for which you're eligible at any time.
- The PAYE and ICR Plans will be retired no later than July 1, 2028. We're working on a transition plan for borrowers who are enrolled in either the PAYE or ICR Plan.
- Learn about your repayment plan options if you're a [parent PLUS borrower who doesn't intend to take out new loans after July 1, 2026](#).

I'm an undergraduate student borrower with loans disbursed before July 1, 2026, and I do plan to receive new loans on or after July 1, 2026.

Loan Limits

- Some borrowers will qualify for an exception regarding when some of the new [loan limits](#) will apply. If you're ineligible for this exception, then the new loan limits will apply to you starting on July 1, 2026. If you do qualify for the exception, then some of the new loan limits won't be enforced until the 2029–30 award year, but they could be enforced earlier if you take an action that cancels the exception. You can determine whether you [qualify for the exception and how to maintain the exception](#).
- Eligibility for the exception doesn't affect the annual loan limits for undergraduate borrowers.
- Your institution may set a loan limit that is lower than the maximum amount allowed by law, as long as the same limit is applied to all borrowers in the same program of study.
- If you do qualify for the exception, you won't have a lifetime maximum loan limit applied until the 2029–30 award year; however, the pre-*OBBBA* annual and aggregate limits will be applicable. If you don't qualify for the exception (including if you previously qualified for the exception but took an action that cancels the exception), you'll have a lifetime maximum loan limit of \$257,500, which includes any amount paid in full or discharged in addition to the new *OBBBA* annual and aggregate limits.
- If you're enrolled less than full time, then the amount of your loan eligibility will be reduced proportionally to your level of enrollment. This reduction is applicable regardless of whether or not you qualify for the limited exception.
- If you do qualify for the exception, the maximum annual amount that your parents may borrow is equal to your cost of attendance minus other aid received. If you don't qualify for the exception and if one or more of your parents are receiving a parent PLUS loan, then they'll have reduced borrowing eligibility starting on July 1, 2026. Dependent undergraduate students may receive up to \$20,000 annually from all parents, with an overall aggregate amount of \$65,000, which includes any amount paid in full or discharged. After reaching the limit, parents won't be permitted to receive additional parent PLUS loans. Learn about [receiving a Direct PLUS Loan for parents after July 1, 2026](#).

Repayment Plans

- If you have at least one loan first disbursed on or after July 1, 2026, you'll be required to repay all of your eligible Direct Loans, including loans first disbursed before July 1, 2026, under either the [Repayment Assistance Plan](#) or the [Tiered Standard Plan](#).
- If you have Direct Subsidized Loans, Direct Unsubsidized Loans, Direct PLUS Loans for graduate or professional borrowers, or a Direct Consolidation Loan that doesn't include a parent PLUS loan, then you're permitted to repay those loans under the Repayment Assistance Plan or the Tiered Standard Plan.

- If you have parent PLUS loans or a Direct Consolidation Loan that includes a parent PLUS loan, then you're permitted to repay those loans only under the Tiered Standard Plan.

I'm a graduate student borrower with loans disbursed before July 1, 2026, and I do plan to receive new loans on or after July 1, 2026.

Loan Limits

- Some borrowers will qualify for an exception regarding when some of the new [loan limits](#) will apply. If you're ineligible for this exception, then the new loan limits will apply to you starting on July 1, 2026. If you do qualify for the exception, then some of the new loan limits won't be enforced until the 2028–29 award year but could be enforced earlier if you take an action that cancels the exception. You can determine whether you [qualify for the exception and how to maintain the exception](#).
- Before July 1, 2026, loan limits for both graduate and professional students were treated the same. Starting on July 1, 2026, borrowers seeking a professional degree will have different loan limits compared to borrowers pursuing a graduate degree. Find out [which degrees are considered a professional degree](#).
- Regardless of your qualification for the exception, if you're enrolled in a graduate program, you'll have the same annual loan limits for unsubsidized loans that you have today. You may receive unsubsidized loans up to \$20,500 yearly.
- If you don't qualify for the exception (including if you previously qualified for the exception but took an action that cancels the exception) *and* you're enrolled in a graduate program, then you may receive unsubsidized loans up to \$100,000 in total if you weren't previously enrolled in a professional program. If you *were* previously enrolled in a professional program, you may receive unsubsidized loans up to \$200,000 minus what was received for that professional program. This aggregate loan limit won't include loans received for undergraduate studies. If you do qualify for the exception, you'll retain the \$138,500 aggregate loan limit through the 2028–29 award year or until you no longer qualify for the exception. That loan limit will include loans received for undergraduate study.
- If you don't qualify for the exception (including if you previously qualified for the exception but took an action that cancels the exception), then you're not permitted to receive a Direct PLUS Loan for graduate or professional students. If you do qualify *and* you don't have an adverse credit history, then you'll be able to receive a Direct PLUS Loan for graduate or professional students through the 2028–29 award year or until you no longer qualify for the exception. No Direct PLUS Loans for graduate or professional students will be awarded starting with the 2029–30 award year.
- Your institution may set a loan limit that is lower than the maximum amount allowed by law, as long as the same limit is applied to all borrowers in the same program of study.

- If you don't qualify for the exception (including if you previously qualified for the exception but took an action that cancels the exception), then you have a lifetime maximum loan limit of \$257,500, which includes any amount paid in full or discharged, and is applicable starting on July 1, 2026. If you qualify for the exception, you won't have a lifetime maximum loan limit applied through the 2028–29 award year or until you no longer qualify for the exception.
- If you're enrolled less than full time, then the amount of your loan eligibility will be reduced proportionally to your level of enrollment.
- If you're enrolled in an eligible health professions program and are eligible for the exception, then you may be eligible for a higher annual or aggregate loan limit.

Repayment Plans

- If you have at least one loan first disbursed on or after July 1, 2026, you'll be required to repay all of your eligible Direct Loans, including loans first disbursed before July 1, 2026, under either the [Repayment Assistance Plan](#) or the [Tiered Standard Plan](#).
- If you have Direct Subsidized Loans, Direct Unsubsidized Loans, Direct PLUS Loans for graduate or professional borrowers, or a Direct Consolidation Loan that doesn't include a Direct PLUS Loan for parents, you're permitted to repay those loans under the Repayment Assistance Plan or the Tiered Standard Plan.
- If you have parent PLUS loans or a Direct Consolidation Loan that includes a parent PLUS loan, you're permitted to repay those loans only under the Tiered Standard Plan.

I'm a professional student borrower with loans disbursed before July 1, 2026, and I do plan to receive new loans on or after July 1, 2026.

Loan Limits

- Before July 1, 2026, [loan limits](#) for both graduate and professional students were treated the same. Starting on July 1, 2026, if you're seeking a professional degree, you'll have different loan limits compared to borrowers pursuing a graduate degree. Find out [which degrees are considered a professional degree](#).
- If you're enrolled in a professional program, you'll have increased annual loan limits for unsubsidized loans compared to the eligibility that you'd have before July 1, 2026. You may receive unsubsidized loans up to \$50,000 each year.
- If you're enrolled in a professional program, you may receive unsubsidized loans up to \$200,000 in total if you weren't previously enrolled in a graduate program. If you *were* previously enrolled in a graduate program, you may receive unsubsidized loans up to \$200,000 minus what you received for that graduate program. This aggregate loan limit won't include loans received for undergraduate study.
- Some borrowers will qualify for an exception regarding when the new loan limits will apply. If you're ineligible for the exception, then the new loan limits will apply to you starting on July 1, 2026. If you do qualify for the exception, then some of the new loan

limits will be enforced no later than the 2029–30 award year but could be enforced earlier if you take an action that cancels the exception. You can determine whether you [qualify for the exception and how to maintain the exception](#).

- Unless you qualify for the exception, you're not permitted to receive a Direct PLUS Loan for graduate or professional students.
- Your institution may set a loan limit that is lower than the maximum amount allowed by law, as long as the same limit is applied to all borrowers in the same program of study.
- If you don't qualify for the exception, you have a lifetime maximum loan limit of \$257,500, which includes any amount paid in full or discharged, and is applicable starting on July 1, 2026. If you qualify for the exception, you won't have a lifetime maximum loan limit applied through the 2028–29 award year or until you no longer qualify for the exception.
- If you're enrolled less than full time, then the amount of your loan eligibility will be reduced proportionally to your level of enrollment.
- If you're enrolled in an eligible health professions program and are eligible for the exception, then you may be eligible for a higher annual or aggregate loan limit.

Repayment Plans

- If you have at least one loan first disbursed on or after July 1, 2026, you'll be required to repay all of your eligible Direct Loans under either the [Repayment Assistance Plan](#) or the [Tiered Standard Plan](#).
- If you have Direct Subsidized Loans, Direct Unsubsidized Loans, Direct PLUS Loans for graduate or professional students, or a Direct Consolidation Loan that doesn't include a Direct PLUS Loan for parents, you're permitted to repay those loans under the Repayment Assistance Plan or the Tiered Standard Plan.
- If you have parent PLUS loans or a Direct Consolidation Loan that includes a parent PLUS loan, you're permitted to repay those loans only under the Tiered Standard Plan.

Parent PLUS Loan Borrower Scenarios

I'm a parent PLUS borrower, all of my Direct PLUS Loans for parents are first disbursed before July 1, 2026, and I don't plan to receive new parent PLUS loans on or after July 1, 2026.

Repayment Plans

- Because all of your loans are first disbursed before July 1, 2026, you'll retain access to many of the existing fixed payment repayment plans, as well as the Income-Based Repayment (IBR) and Income-Contingent Repayment (ICR) Plans (if you take additional steps). **If you have any type of Direct Loan—including a Direct Consolidation Loan—that is first disbursed on or after July 1, 2026, then your access will be limited to only the [Tiered Standard Plan](#).** Learn about [receiving a Direct PLUS Loan for parents after July 1, 2026](#).

- If your loans are all first disbursed before July 1, 2026, you'll have access to the following repayment plans:

- - [Standard Repayment Plan](#)
 - [Graduated Repayment Plan](#)
 - [Extended Repayment Plan](#)
 - [Income-Based Repayment \(IBR\) Plan](#) (requires additional steps)
 - [Income-Contingent Repayment \(ICR\) Plan](#) (requires additional steps)
 - [Pay As You Earn \(PAYE\) Plan](#)

- If you have parent PLUS loans, you must take additional steps before you can access the IBR or ICR Plans. Specifically, you're required to consolidate your parent PLUS loans into a Direct Consolidation Loan before you can access either the IBR or ICR Plans. After your parent PLUS loans have been consolidated, you're required to make at least one payment on the ICR Plan before you can access the IBR Plan.
- If you take out a PLUS loan for parents and you have **any type of Direct Loan, including a Direct Consolidation Loan**, that is first disbursed on or after July 1, 2026, then you're restricted to only the Tiered Standard Plan. If you want to repay your parent PLUS loans using the IBR or ICR Plans, then your Direct Consolidation Loan must be disbursed before July 1, 2026. We are not currently experiencing a delay in processing of consolidation applications. We do anticipate that a large number of borrowers will apply to consolidate their loans between now and July 1, 2026. **We strongly recommend that borrowers who must consolidate their loans in order to access the IBR, ICR, and PAYE Plans apply for their consolidation loan at least three months before July 1, 2026, to ensure that their consolidation loan is disbursed before July 1, 2026.**
- If you have a Direct Consolidation Loan that includes a PLUS loan for parents and you want to access the IBR or ICR Plans, you can enroll in either plan at any time, with the following two restrictions:
 - 1. The ICR Plan will be eliminated no later than July 1, 2028. If you have a Direct Consolidation Loan that includes a PLUS loan for parents and you want to access the IBR Plan, you must first make a single payment while enrolled in the ICR Plan *before* the ICR Plan is eliminated no later than July 1, 2028.
 - 2. If at any point you receive **any type of Direct Loan**—including a Direct Consolidation Loan—first disbursed on or after July 1, 2026, then you'll have access to only the Tiered Standard Plan, even if you've been enrolled in the IBR or ICR Plans. If you take all of the required steps to access the IBR or ICR Plans and then take out any type of Direct Loan that is first disbursed on or after July 1, 2026, your servicer will move your loans already in repayment to the Tiered Standard Plan. You'll have the option to apply for and enroll in the [Repayment](#)

[Assistance Plan](#) for your Direct Loans that aren't parent PLUS loans or Direct Consolidation Loans that don't include parent PLUS loans.

- *OBBBA* eliminates the ICR and PAYE Plans entirely in the future. We will publish more information about the ICR enrollment deadlines that borrowers with consolidated parent PLUS loans must meet before the ICR Plan is eliminated in order for borrowers to continue to be able to access the IBR Plan.

I'm a parent PLUS borrower, and all of my loans are first disbursed before July 1, 2026, and I do plan to receive new loans on or after July 1, 2026.

Loan Limits

- Some parent PLUS borrowers who receive a Direct PLUS Loan for parents on or after July 1, 2026, will qualify for an exception regarding when the new [loan limits](#) for the Direct PLUS Loan program will apply. If you're ineligible for the exception, then the new loan limits will apply to you starting on July 1, 2026. If you do qualify for the exception, then the new loan limits for parent PLUS loans will be enforced no later than the 2029–30 award year, but they could be enforced earlier if your child takes an action that cancels the exception. You can determine whether you [qualify for the exception and how to maintain the exception](#).
- If you do qualify for the exception, the maximum annual amount you may borrow is equal to your child's cost of attendance minus other aid that your child received. If you don't qualify for the exception (including if you previously qualified for the exception but took an action that cancels the exception), then you'll have reduced borrowing eligibility starting on July 1, 2026. Dependent undergraduate students will be able to receive up to \$20,000 annually received by all parents, with an overall aggregate amount of \$65,000 per student. After reaching the limit, parents won't be permitted to receive additional parent PLUS loans.
- The limitations for receiving parent PLUS loans are applicable to each student for which a parent is receiving a PLUS loan. Practically, this means the following three things:
 - 1. If you have two or more students for whom you're borrowing, you can borrow up to the cost of attendance minus other aid received, not to exceed \$20,000 annually, for each student.
 - 2. If you have two or more students for whom you're borrowing, you can borrow up to \$65,000 for each student.
 - 3. If a student has multiple parents who each would like to receive a PLUS loan on the student's behalf, the annual and aggregate limitations apply based on the student, not the parents. This means that if two (or more) parents want to receive a PLUS loan for parents, they may not borrow more than \$20,000 annually, or \$65,000 with all of the parents combined.

- If it's determined that one or more parents have adverse credit and are unable to receive a PLUS loan, then the limit increases for how much in Direct Unsubsidized Loans a student may borrow. One or more parents reaching their annual or aggregate limit for receiving PLUS loans doesn't increase the student's ability to receive additional Direct Unsubsidized Loans.
- Your student's institution may set a loan limit that is lower than the maximum amount allowed by law, as long as the same limit is applied to all students in the same program of study.

Repayment Plans

- If you have parent PLUS loans or a Direct Consolidation Loan that includes a parent PLUS loan, or any other type of Direct Loan, any of which are first disbursed on or after July 1, 2026, then you're permitted to repay the Direct Consolidation Loan or the parent PLUS loan under only the [Tiered Standard Plan](#).
- If you have other types of Direct Loans that are not a PLUS loan for parents or a Direct Consolidation Loan that includes a PLUS loan for parents, then those other loans may be repaid under either the [Repayment Assistance Plan](#) or the Tiered Standard Plan.
- If you have a Direct Consolidation Loan that paid off a Direct Consolidation Loan that paid off a PLUS loan for parents (sometimes referred to as a double consolidation) or any other type of Direct Loan, any of which is first disbursed on or after July 1, 2026, then you'll have access to only the Tiered Standard Plan for your Direct Consolidation Loan or your parent PLUS loans.

Public Service Loan Forgiveness (PSLF) Borrower Scenarios

I'm a borrower pursuing PSLF, all of my Direct Loans are first disbursed before July 1, 2026, and I don't plan to receive new Direct Loans on or after July 1, 2026.

- The current [PSLF-qualifying repayment plans](#) continue to count toward PSLF eligibility, and the [Repayment Assistance Plan](#) will be added as a PSLF-qualifying repayment plan.
- For a month to count as qualifying for income-driven repayment (IDR) discharge and PSLF while in the Repayment Assistance Plan, the payment must be both on time and in full. An on-time payment is a payment that is received on or before the current month's due date and after the previous month's due date, and that payment can't have been used to resolve delinquency. To make a payment in full, the amount paid in the month must be equal to or greater than the monthly payment amount. Additionally, the payment must be matched to a month with certified qualifying employment.
- If you're attempting to have your loans discharged using the [Temporary Expanded Public Service Loan Forgiveness \(TEPSLF\)](#) program, you'll have some or all of your 120 monthly payments made under the [consolidation Standard](#), [Extended](#) or [Graduated](#) repayment plans. If you have qualifying employment for those same months, you may continue to qualify for TEPSLF. TEPSLF also requires

that the monthly payment amount for your most recent payment and the payment made 12 months before are at least as much as you would've paid under an eligible [income-driven repayment \(IDR\) plan](#). For purposes of this requirement, the Repayment Assistance Plan is not an eligible IDR plan.

I'm a borrower pursuing PSLF, all my Direct Loans are first disbursed before July 1, 2026, and I do plan to receive new Direct Loans on or after July 1, 2026.

- Payments made under a [PSLF-qualifying repayment plan](#), which will include the [Repayment Assistance Plan](#), will count toward PSLF. When your loans that are first disbursed on or after July 1, 2026, enter repayment, all Direct Loans must be in either the [Tiered Standard Plan](#) or Repayment Assistance Plan.
- The Tiered Standard Plan doesn't count as qualifying payment toward PSLF or Temporary Expanded Public Service Loan Forgiveness (TEPSLF).
- For a month to count as qualifying for PSLF while in the Repayment Assistance Plan, the payment must be both on time and in full. An on-time payment is a payment that is received on or before the current month's due date and after the previous month's due date, and the payment can't have been used to resolve delinquency. To make a payment in full, the amount paid in the month must be greater than or equal to the monthly payment amount. Additionally, the payment must be matched to a month with your certified qualifying employment.
- Since Direct Consolidation Loans that include a Direct PLUS Loan for parents are ineligible for the Repayment Assistance Plan, such loans cannot continue to qualify for PSLF even if those loans had previously been eligible for PSLF by being enrolled in the IBR or ICR Plans.
- If you have some or all 120 monthly payments made under the [consolidation Standard](#), [Extended](#), or [Graduated](#) repayment plans, but you have qualifying employment for those months, you may continue to qualify for TEPSLF if your most recent monthly payment and the payments made 12 months before are at least as much as you would've paid under an eligible IDR plan other than the Repayment Assistance Plan.

I'm a borrower pursuing PSLF, and all of my loans are first disbursed on or after July 1, 2026.

- The [Tiered Standard Plan](#) doesn't count toward PSLF or Temporary Expanded Public Service Loan Forgiveness (TEPSLF).
- Payments made under only the [Repayment Assistance Plan](#) count toward PSLF, and only if those payments are made in full and on time. An on-time payment is a payment that is received in full on or before the current month's due date and after the previous month's due date.
- Direct PLUS Loans for parents and Direct Consolidation Loans that include a parent PLUS loan are ineligible for the Repayment Assistance Plan.

- Payments made while in repayment under the Tiered Standard Plan are not eligible for consideration under the PSLF program or TEPSLF opportunity.

Common Questions and Answers

What changes were made to the Income-Based Repayment (IBR) Plan?

Changes Under *OBBBA*

Previously, borrowers were required to have partial financial hardship and to not have certain types of ineligible loans in order to enter an IBR Plan. With the passage of *OBBBA*, the IBR Plan now has updated eligibility criteria that allow the following types of borrowers to enroll:

- Borrowers who don't have partial financial hardship
- Parent PLUS borrowers who have consolidated their parent PLUS loans into Direct Consolidation Loans and who have enrolled in the Income-Contingent Repayment (ICR) Plan immediately before enrolling in the IBR Plan

(Note: To be considered enrolled in the ICR Plan, a borrower must make one full payment after entering the ICR Plan.)

What's Not Changing

Though *OBBBA* removes the requirement to have partial financial hardship to enroll in the IBR Plan, monthly payment amounts under IBR will continue to be capped at an amount equivalent to the Standard Repayment Plan with a 10-year repayment period. This means that payments on the IBR Plan will never be higher than payments on a Standard Repayment Plan with a 10-year repayment period.

Additionally, *OBBBA* does **not** change how a borrower's monthly payment amount is calculated under the IBR Plan. The following formulas remain in effect:

- If you borrowed **before** July 1, 2014: The IBR Plan monthly payment amount calculation is based on 15% of your discretionary income, with a 25-year repayment period.
- If you first borrowed on or **after** July 1, 2014, or had no outstanding balance at the time you received a new loan on or after that date: The IBR Plan monthly payment amount calculation is based on 10% of your discretionary income, with a 20-year repayment period.

Will all borrowers have access to the IBR Plan?

No, some borrowers will continue not to have access to the IBR Plan:

- Parent PLUS borrowers whose PLUS loans have not been consolidated

- Recipients of Perkins loans and other smaller loan programs who haven't consolidated those loans into a Direct or Federal Family Education Loan (FFEL) Program consolidation loan

Can borrowers still access the IBR, ICR, and PAYE Plans?

If you have eligible loans taken out before July 1, 2026, you're permitted to access the Income-Based Repayment (IBR), Income-Contingent Repayment (ICR), and Pay As You Earn (PAYE) Plans on or after July 1, 2026. There will be no restriction on enrolling in the IBR, ICR, or PAYE Plans on or after July 1, 2026, unless you receive a disbursement on a new loan on or after July 1, 2026.

If you must [consolidate your loans in order to access the IBR, ICR, and PAYE Plans](#), then you must have your consolidation loan disbursed no later than June 30, 2026, in order to access those plans. We strongly encourage you to apply for your consolidation loan at least three months before July 1, 2026, in order to ensure that your consolidation loan is disbursed no later than June 30, 2026.

If you must consolidate your parent PLUS loans in order to access the ICR and IBR Plans, you don't need to be enrolled in the ICR Plan before June 30, 2026, in order to eventually access the IBR Plan. However, you must receive your new consolidation loan no later than June 30, 2026, and you must make at least one payment under the ICR Plan before access to ICR is ended (no later than July 1, 2028).

If you receive disbursements on new loans or on a new consolidation loan on or after July 1, 2026, then you won't have access to the IBR, ICR, and PAYE Plans even if you were previously enrolled in those plans.

We are not currently experiencing a delay in processing of consolidation applications. We do anticipate that a large number of borrowers will apply to consolidate their loans between now and July 1, 2026.

OBBBA eliminates the ICR and PAYE Plans entirely in the future. We will publish more information about the ICR Plan enrollment deadlines that borrowers with consolidated parent PLUS loans must meet before the ICR Plan is eliminated in order for them to continue to be able to access the IBR Plan.

What is partial financial hardship? Can borrowers without partial financial hardship enroll in the IBR Plan?

Before *OBBBA*, borrowers were required to have partial financial hardship in order to be eligible to enroll in the IBR Plan. *OBBBA* removed that requirement. On Dec. 22, 2025, we updated our systems to implement this update.

What is partial financial hardship?

When determining whether a borrower has partial financial hardship, we use a formula, based on income and family size, to determine what that borrower's monthly payment amount will be. If the calculated amount is less than what the borrower's monthly payment amount would be under the 10-year Standard Repayment Plan, then that borrower is considered to have partial financial hardship. If the calculated monthly payment amount is greater than the 10-year Standard Repayment Plan amount, then the borrower is considered not to have partial financial hardship. Before *OBBBA*, only borrowers with partial financial hardship were eligible to enroll in the IBR Plan.

We encourage borrowers who previously applied for the IBR Plan and were denied due to their lack of partial financial hardship to [reapply using the online IDR application](#), now that these updates have been implemented. If you applied for the IBR Plan and your servicer is holding your application, your servicer will process your application in the order in which it was received.

How did *OBBBA* affect the FAFSA® form?

Financial assets that are counted when students and parents fill out the 2026–27 *Free Application for Federal Student Aid* (FAFSA®) form will now better reflect a family's financial need. This includes forms submitted during the FAFSA beta events that began Aug. 5, 2025.

OBBBA includes exclusions for small businesses, family farms, and commercial fishing businesses.